

THE EQUALISATION LEVY: A TIMELINE

Equalisation Levy 1.0 (Finance Act, 2016)

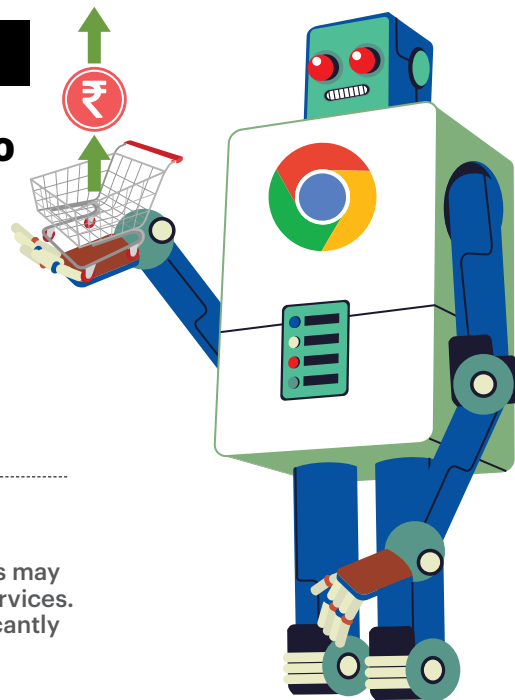
ANALYSIS Levied at 6% on payments made by Indian businesses to non-residents for online advertising services. Since it operated outside the Income-tax Act and tax treaties, treaty protection was unavailable.

STATUS Withdrawn w.e.f. 1 April 2025

Equalisation Levy 2.0 (Finance Act, 2020)

ANALYSIS Expanded the levy to cover non-resident e-commerce operators earning consideration from Indian customers for online supplies and services.

STATUS Withdrawn w.e.f. 1 August 2024



Royalty/FTS

ANALYSIS Even after withdrawal of Equalisation Levy, the tax authorities may seek to characterise digital payments as royalty or fees for technical services. However, the Supreme Court's decision in Engineering Analysis significantly limits such characterisation under tax treaties.

STATUS Continues to remain part of the Income-tax framework.

SOURCE NANGIA & CO

₹1.4

LAKH CRORE

ESTIMATED DIGITAL
ADVERTISING REVENUE
BY 2028

₹95,000

CRORE

TOTAL ADVERTISING
SPENDS IN 2025

₹72,000

CRORE

AMAZON, META AND GOOGLE'S
SHARE IN TOTAL ADVERTISING
SPENDS IN 2025

such as advertising revenue or platform fees, outside the tax net in other countries. The reasons typically lie in prevailing laws and double taxation avoidance treaties. Not surprisingly, tax authorities everywhere, including in India, have struggled with this.

More than anything else, the fact that many of these companies do not have a physical presence in India poses a challenge. While they may have a GCC (global capability centre) or a development office on which tax is paid, the main revenue flows

back to headquarters. There is some history to this in the Indian context. The Finance Act, 2016 introduced an equalisation levy of 6% on payments made by Indian businesses for certain services provided by non-residents without a permanent establishment in India. At that point, it applied to online advertisement services. This levy, which came to be known as the Google Tax, was expanded by the Finance Act, 2020 to cover non-resident e-commerce supply and services at the rate of 2%.

The 2% levy was abolished in the Union Budget 2024-25 and, a year later, the 6% levy was scrapped. This came soon after Trump began his second term and several Big Tech firms raised concerns. With his recent announcement, the issue is once again under discussion, though how it will play out is anyone's guess.

THE COMPLEXITY

The tech sector is peculiar and stands out for several reasons. Its rapid growth and multiple com-